Project Nilgiri - Information Memorandum

Strictly private and confidential. Prepared for Deccan Consumer Holdings Limited.

Company overview

Kaveri Agro Foods Private Limited (CIN U15400TN2009PTC071234) is a Coimbatore-based maker of packaged millet snacks, ready-to-cook batters and spice blends. It runs manufacturing plants in Tamil Nadu and Karnataka and sells through modern trade, general trade and quick-commerce channels.

Transaction

The promoters, the Raghavan family, propose to sell a 76 percent stake to Deccan Consumer Holdings Limited. Saffron Growth Fund II will exit fully.

Financial highlights

Revenue from operations grew from INR 410 crore in FY23 to INR 552 crore in FY25, a 16 percent CAGR. EBITDA margin improved to 14.2 percent in FY25 on lower millet procurement costs and a richer product mix.

Working capital

Net working capital days rose to 74 days because of longer credit terms extended to modern trade customers. Inventory of finished goods is held at three regional depots.

Annexure C - Pending litigation

GST show cause notice dated 14 March 2025

issued by DGGI Chennai Zonal Unit demanding

INR 4.2 crore of input tax credit plus interest.

The company has filed a reply and disputes the demand.